

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

<think>

House value after repairs = purchase cost + repair cost = \$80,000 + \$50,000 = \$130,000

House value increase = 150% of \$130,000 = 1.5 Ã \$130,000 = \$195,000

But it's not sold for 195,000 since the increased value cannot exceed the original sum of money invested . It is increased by 150% of the total \$130,000 of both the purchase and repair costs ,

Actual value sold for = \$130,000 + \$195,000 = \$325,000 .

Total invested money = \$80,000 + \$50,000 = \$130,000 .

Profit is therefore : \$325,000 (selling value) - \$130,000 (total invested) = \$195,000 .

</think>

<answer>195000</answer>

